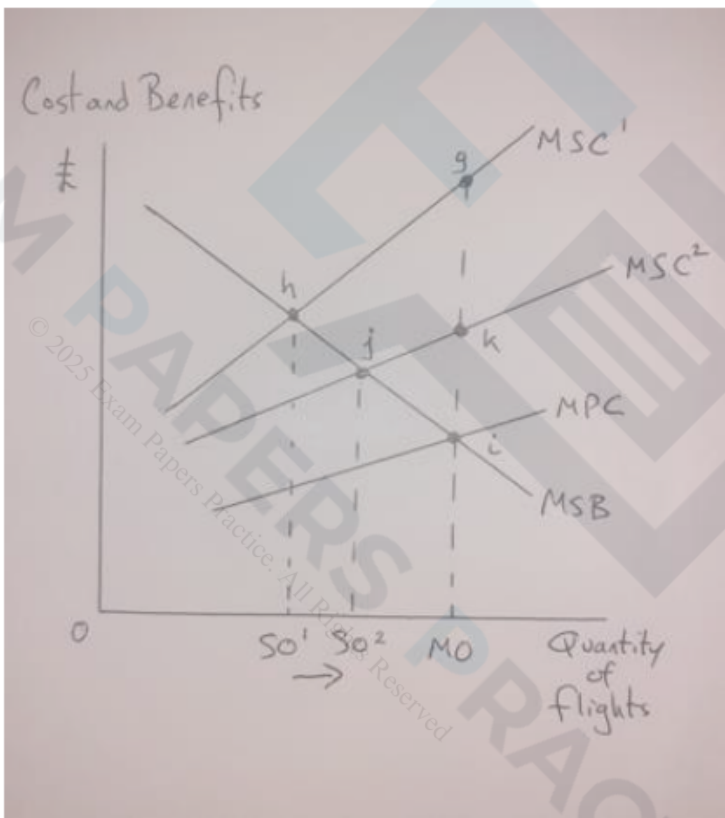


Mark Scheme

Q1.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 2, Analysis 2 Knowledge and Analysis: up to 3 marks for e.g. - Staffing levels fall (1) - Diminishing marginal productivity means for an additional unit of labour the additional increase in productivity declines (1) so the additional cost of hiring more labour (1) needs to be set against the additional productivity gained (1) - As marginal productivity declines/diminishing returns set in (1) marginal cost increases at a faster rate (1) given labour is homogenous (1) - In the short run labour is variable (1) all other factors of production are held constant (1) so an additional unit of labour will result in less additional output (1) - An additional unit of labour results in: marginal product declines (1) average product declines (1) total product increases at a slower rate (1) total cost rises at a faster rate (1) marginal cost increases (1) average cost rises (1) Application: up to 2 marks for e.g. - lower marginal productivity of an additional crew member (1) explains why American Airlines are reducing staffing levels (1) - The first cabin crew member serves 50 passengers, the second serves 60 additional passengers, the third serves 30 more, the fourth serves 20 (1+1) - The number of additional meals served will decline per additional crew member (1) as crew members start to get in each other's way (1) - The available space on the plane is fixed (1) and seating/trolley/meals/doors available (1) - Lower cost per passenger (1) cheaper tickets (1)	(5)

Question Number	Answer	Mark
(b)	Knowledge 2, Analysis 2, Application 2, Evaluation 2 Knowledge/understanding: 2 marks (1+1) e.g. • Social optimum is when $MSC = MSB$ (1) • Social optimum position moves right (1) • Market equilibrium output (e.g. MO) position identified (1) • Downward sloping MSB (1) • $MSC = MPC + MEC$ (1) 	

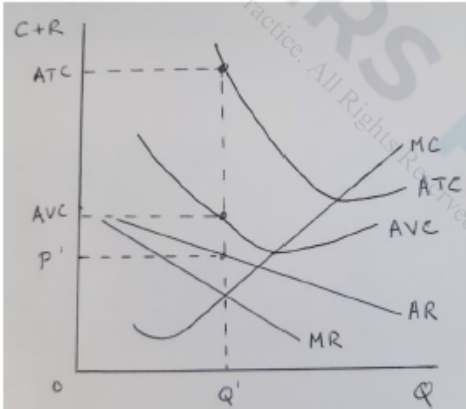
	Analysis: 1 mark for linked explanation of each identified benefit (1+1) e.g. • Third party effects are lower (1) so external costs are lower/MEC falls (gi to ki) (1) • MSC shifts/skews right (1) showing new social optimum position (MSB=MSC) (1) • Welfare loss falls (1) from ghi to kji (1) Application: 2 marks for reference to Extract B e.g. • Thomas Cook airline emissions are lower/switch fuel types/new engines (1) • In 2018 Thomas Cook Group Airline was included in the top 10 of the world's most fuel-efficient airline (1) • Lower insurance bills/clean up bills for companies/households at risk of flood damage/storms (1) loss of cattle/crops due to drought declines (1) • CO₂ emissions per passenger declines (1) quantity of flights increases (1)	
	NB These application points may be annotated on the diagram. Evaluation: 2 marks for two evaluative comments, OR 2 marks for identification and linked development of one evaluative comment e.g. • Difficulty in measuring size of negative externality (1) third party effects (1) • CO₂ emissions from travel agents, hotels and holiday activities increase/remain high (1+1) • Computational problems in measuring CO₂ emissions from planes (1) faulty industry data (1)	(8)

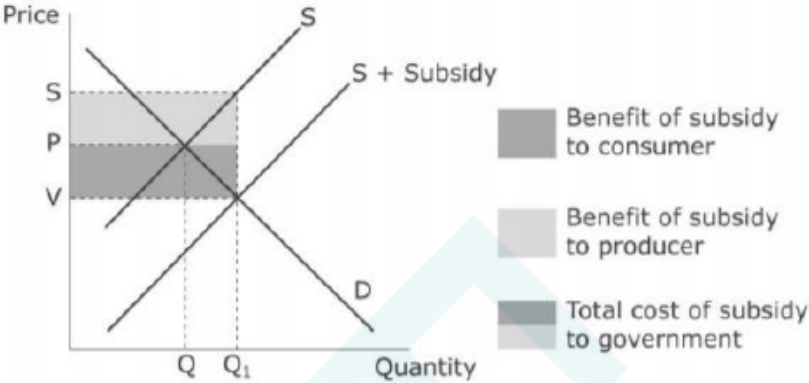
Question Number	Indicative content	Mark
(c)	Knowledge 2, Application 2, Analysis 2 Case for principal agent problem being significant. Conflict of interest between the principal (shareholder) and the agent (CEOs/directors/managers) creates problems for Thomas Cook: • Moral hazard – no consequences for the failings of management results in high-risk behaviour • Chief Executive incentivised by £500 000 bonus and £8.5 million salary possibly linked to sales or market share rather than the long-term profitability of Thomas Cook • To increase sales or market share the Chief Executive may have focussed on mergers with other Travel businesses, price wars with competitors or investing in buying new hotels and planes rather than keeping costs low and paying off debts • Chief Executive may have prioritised a greener image by reducing emissions or better pay to avoid pilots striking and sought to satisfy shareholders instead reducing the long-term profitability of Thomas Cook	(6)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(c) continued	Evaluation 4 Case against 'principal agent problem' - Employee share-ownership schemes address the problem. £4m of the CEO's £8.5m earning is in shares – so as an employee he is motivated by profit maximisation, bringing him in-line with shareholders. His shares are now worthless - CEO worked "exhaustively" to rescue Thomas Cook and create a long-term strategy. By owning planes and hotels they would have assets and not borrow to rent. In the long-run Thomas Cook could have moved its sales more on-line - Shareholders have lost capital value but the CEO has lost his job, earnings and his reputation - Shareholders can hold the CEO accountable at their AGM, reject pay and bonus awards and place the CEO on a short-term contract to avoid the long-term contract short-term gain problem - Other factors that caused closure – fuel prices, competition.	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(d)	Knowledge 2, Application 2, Analysis 4 Case for subsidy: • Subsidy is financial aid, grant • In long run required more to cover AC • Subsidy may have lowered AC, may be shown as shift on diagram • Benefit of subsidy to producer may cover their AVC in short-run or AC in long-run. • Avoid government rescuing 600 000 travellers • Avoid government paying benefits to up to 21 000 employees and those losing jobs in related industries e.g. hotels • Subsidy may have leveraged help from banks and shareholders • Thomas Cook may have recovered - Package holidays may have come back into fashion – aging population. Recession may have seen a rise in demand for package holidays as an inferior good, YED negative • Diagram may be used, for example: 	

	OR Incidence of a Subsidy  NB a diagram is not required NB case against subsidy may be seen as KAA and case for as evaluation or vice versa.	(8)
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Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1-2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3-5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6-8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(d) continued	Evaluation 4 Case against subsidy Lack of finance • £150 million not enough - £1.5 billion loss. • Needed help from bank loan (zombie-firm), shareholders or another company taking over Thomas Cook. Not willing to help. • £1.5 billion loss in May 2017, already in long-run • Cheaper and more effective to nationalise to rescue employees and suppliers Merger with MyTravel • Diseconomies of scale, $LRAC > AR$ • Lack of synergy • Loss making business	

	Falling demand for Package holidays • AR shifting in • Booking online through competitors rather than Thomas Cook high street outlets • Package holiday inferior good, YED negative. • Climate change – stay at home. Opportunity cost Dependency Government lacks funds- budget deficit Moral hazard No consequences for the failings of management will teach other businesses who get into commercial difficulties that government will pick up the pieces NB: Case against subsidy may be seen as KAA and case for as evaluation or vice versa.	(4)
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Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 Exploiting market power • Jet2 increases 'price per person' by £36 after Thomas Cook closes (Fig 2) • Thomas Cook, with a 13% market share in 2019, exits the market causing Jet2 to gain market share, possibly close to 25% - gaining monopoly power/duopoly/oligopoly (Fig 1) • Jet2 may be using its monopoly dominance to set a price above the market clearing/allocatively market price • Consumer surplus reduced, producer surplus gained. • With less competition for package holidays, Jet2's PED becomes relatively more price-inelastic resulting in greater price setting powers for package holidays • Jet2 may now be able to set its price at a profit maximising level of £824 rather than possible sales maximisation/revenue pricing/limit pricing/predatory pricing at £788 • Demand for Jet2 holidays increasing as a close substitute to Thomas Cook • Remaining companies colluding, use of game theory. N.B KAA may be used as EV and vice-versa.	(9)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	7–9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(e) continued	Evaluation 6 Responding to market forces • Demand for Jet2 holidays increasing as a close substitute to Thomas Cook. This may have been happening before Thomas Cook closure • Thomas Cook exiting the package holiday may have removed a surplus of package holidays • At the price of £788 there is now a shortage of holidays to Sorrento, as shown by excess demand due to cancelled Thomas Cook holidays • Market forces resulting in Jet2 extending their supply at higher prices • As they increase the price to £824 the market may clear	(6)

	• Consumers may decide not to buy at higher price - to stay home or become anxious about firms closing and cancelled holidays • Other factors may have caused demand to rise or supply to shift inwards • Market share may not be reallocated to Jet2 • Jet2 is a distant substitute and may not go to same destinations as Thomas Cook • Companies do not collude as fear a whistle-blower and fines 10% of revenue • Rising marginal costs for Jet2 to reduce CO₂ emissions/ buy more fuel to new destinations/ costly take overs. NB KAA may be used as EV and vice-versa.	
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Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1-2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3-4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.
Level 3	5-6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Q2.

Question Number	Answer	Mark
(a)	Knowledge 1 Knowledge 1 mark for accurate definition e.g. A minimum price is the lowest price that can legally be set (1) The price floor below which cannot be charged (1)	(1)
Question Number	Answer	Mark
(b)	The only correct answer is B <i>A is not correct because it is the loss of consumer surplus resulting from the minimum price</i> <i>C is not correct because it is the gain in producer surplus resulting from the minimum price</i> <i>D is not correct because it is the amount spent by the consumer and the EU</i>	(1)
Question Number	Answer	Mark
(c)	Knowledge 2 Knowledge 1 mark for identifying likely problem and 1 mark for linked development. One problem e.g. • At P2 there is a surplus/ excess supply (1) which has to be paid for through higher taxes (1) • This surplus may have to be stored (1) The surplus storage will cost money to maintain the facilities (1) • Opportunity cost of the intervention buying (1) e.g. spending on education (1) • Unintended consequences (1) e.g. firms increase supply (1) • Reference to 'underground markets' • Higher prices for consumers	(2)

Q3.

Question Number		Mark
(a)	Knowledge 2, Application 2, Analysis 1 Knowledge and Analysis - Definition of exchange rate: price of one currency in terms of another (1) - Possible reasons: - Reduction in QE by USA (K): likely to cause a rise in interest rates in developed economies and less demand for the currencies of emerging economies (A) - Slow-down in the Turkish economy (K): likely to cause a fall in confidence and a decrease in foreign direct investment and less demand for the currencies of emerging economies (A) Application: Reference from Figure 1: (2) 14% fall in value of the Turkish lira over the whole period	(5)

Question Number	Indicative content	Mark
(b)	Knowledge 2, Application 2, Analysis 4 - understanding of <i>inflation</i>: general increase in the average price level Costs of inflation include: - arbitrary redistribution of income from lenders to borrowers - loss of international competitiveness of Argentine goods - uncertainty causing a fall in investment - industrial unrest: reference to impact of strike by the police - menu costs and shoe leather costs - danger of hyperinflation if the current inflation is not brought under control.	(8)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(b) continued	Evaluation 4 - current inflation rate may be a short-term phenomenon only - impact of competitiveness depends on inflation rates of countries that Argentina trades with - Argentine government is taking measures e.g. price controls to reduce the rate of inflation - impact on living standards depends on what is happening to wages	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number		Mark
(c)	Knowledge 2, Application 2, Analysis 2, Evaluation 2 Knowledge and Analysis - Restrictions on beef exports caused a fall in demand and in the price of beef (K). In turn, this made it less profitable to produce beef. (A) (2) - Soya production becoming more profitable because of growing demand from China (K). Therefore, farmers reallocating resources from beef production to soya production. (A) (2) Application 10 million fall in the stock of cattle (over 10 years) to 48 million in 2011. - Exports accounted for 20% of beef production in 2007, but have fallen to just 7% in 2013 (2) Evaluation 2 marks for any valid point: - Some farmers may find it difficult to switch production from beef to soya because of the costs involved and/or unsuitability of the land - Farmers might think that government restrictions on beef exports may be short-term so they will not switch from beef to soya.	(8)

Question Number	Indicative content	Mark
(d)	Knowledge 4, Application 4, Analysis 8 Evaluation 9 Microeconomic effects: • supply and demand diagram illustrating the impact of maximum prices: contraction in supply and extension of domestic demand • shortages of products subject to price controls • need for rationing • greater price stability for producers • implications for resource allocation: producers will switch resources to the production of products not covered by price controls. Macroeconomic effects: • falling export revenues from beef sales • negative impact on Argentina's balance of trade • could cause fall in the rate of economic growth • negative implications for Argentina's economic development • fall in the rate of inflation • price controls might act as an incentive for producers to diversify and/or develop manufacturing and tertiary industries. Possible evaluation points include: • impact of price controls depends on how rigorously they are enforced • producers may not reallocate resources to products not subject to price controls if they believe that they will only exist for a short time • impact on the balance of trade may be minimal, e.g. because of the increase in exports of soya • impact on the rate of inflation may be limited to the short-term: once price controls are removed the rate of inflation might increase significantly	(25)

Knowledge, application and analysis		
Level	Marks	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays ability to apply knowledge in context but will focus on a small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models
Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis
Level 3	9–12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13–16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

Evaluation		
Level	Marks	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning. Evaluation recognises different viewpoints and can be critical of the evidence provided.

Question Number	Indicative content	Mark
(e)	Knowledge 4, Application 4, Analysis 8, Evaluation 9 Microeconomic effects: • primary producers: export revenues may fall since demand for many primary products is price inelastic • increase in costs for firms reliant on imported raw materials • increase in competitiveness for Argentine exporters of manufactured goods. Macroeconomic effects: • increase in the competitiveness of Argentine's goods and services may lead to an improvement in the current account of the balance of payments • increase in the rate of economic growth • leading to an increase in employment • cost push inflation resulting from increased costs of imported goods • increase in the real burden of foreign debt. Possible evaluation points include: • impact on individual Argentine producers depends on their reliance on imports and/or exports • demand for some products, e.g. soya may not be adversely affected because demand is increasing rapidly in China • inflation is very high so any competitive advantage may be lost quickly. Impact on current account will depend on whether the Marshall-Lerner condition is fulfilled • short-run and long-run effect on the current account may be analysed using the J curve effect • the current account will only improve if the Marshall-Lerner condition is fulfilled, i.e. if the sum of the price elasticity of demands for imports and exports is greater than 1	(25)

Knowledge, application and analysis		
Level	Marks	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays ability to apply knowledge in context but will focus on a small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models
Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis
Level 3	9–12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13–16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

Evaluation		
Level	Marks	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning. Evaluation recognises different viewpoints and can be critical of the evidence provided.

Q4.

Question Number	Indicative content	Mark
	Knowledge 4, Application 4, Analysis 8, Evaluation 9 • Definition of external costs. • Identification of external costs likely in the energy market. • Explain the reason for government intervention, e.g. overconsumption and the need to reduce it. • Diagram identifying external costs and the need to reduce it – linking to overproduction/deadweight loss: – Indirect taxation – ad valorem and specific – costs rise for firm – reducing supply and quantity/may use funds to compensate third party/increases incentive to move to production of energy with lower external costs. But if demand inelastic just passed on to consumer/little impact on consumer/measurement problem to decide size of tax/may not be reinvested/used to compensate third parties/avoidance/evasion – Tradable pollution permits – how it works/incentive to reduce pollution to be able to sell them/those that do rewarded/ those that don't have added costs/ But only works if right quantity sold/some may not bother if surplus permits/costs to administer/monitor – Extension of property rights – third party can seek compensation. But only those that can afford to pursue will/no guarantee that you can prove they are the guilty party/energy companies large have expensive and powerful lawyers – Regulation – banning or setting limits on energy production. But expensive to police/measurement problem – what limits to set. • Diagrams may be rewarded where appropriate. NB For a Level 4 response, candidates must consider two methods in their answer.	(25)

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	5–8	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	9–12	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relates them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	13–16	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	4–6	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Q5.

Question Number	Answer	Mark
(a)	Knowledge 2, Application 2, Analysis 1 Knowledge: 2 marks for identification of how intervention might work e.g. • Raising/lowering interest rates (1) which affects exchange rates/hot money flows (1) • Buying/selling foreign currencies (1) which affects their exchange rate (1) • Buying/selling domestic currencies (1) which affects their exchange rate (1) • Quantitative easing/changing the money supply might be used (1) • Sets a ceiling and floor (1) Application: 2 marks for data references e.g. • Use of Figure 1 to show interest rate changes: e.g. central bank rose rates to 6.25 percentage points in 2018 (1) which caused the lira to appreciate 11% (1) lira has lost a third of its value against the dollar in 2018 (1) • Use of text to give example of Turkish government buying and selling: e.g. the country is highly indebted on foreign currency (1) • This might be shown by an exchange rate diagram (1)	
	Analysis: 1 mark for explanation e.g. • Process by which the intervention affects exchange rate/interest rate e.g. the government buys US dollars to decrease the price of Turkish lira (1) by increasing the supply of lira on the forex market (1) or raises interest rate in increase the price of Turkish lira (1) NB a diagram can be seen as application or analysis, if used in a valid context.	(5)

Question Number	Answer	Mark
(b)	Knowledge 2, Application 2, Analysis 2, Evaluation 2 Knowledge/ implicit understanding: 2 marks (1+1) for each reason and explanation e.g. a lower exchange rate can: • Reduces financial risks • To bring stability/security in the economy • Harms borrowers who have borrowed in foreign currency • Causes inflation as import costs rise • Worsens the terms of trade • Worsens living standards • Short term J-curve effects on current account of the Balance of Payments Application: (2 marks: 1+1 or 2) • Turkish inflation 25% • Lira has lost a third of its value of US dollar 2018 (1) • Turkey is highly indebted in foreign currency (1) • Government takes measures against excessive appreciation or depreciation of the Turkish lira to reduce financial stability risks (1) • The financial market faces difficulties in trying to restore <i>foreign investors'</i> confidence (1)	

	Analysis: 2 marks (1+1) for linked development of each point e.g. • A weaker currency can lead to cost push inflation as import prices rise • A weaker currency worsens the terms of trade as export prices fall relative to import prices • There will be less investment if there is a loss of foreign investors' confidence/AD shift Evaluation (2 marks: two points 1+1 or 2). Points might include: • Inflation is very high (25%) so this should be main reason not to allow a fall in the exchange rate • Inflation is showing signs of reversing so a fall in the exchange rate may be less problematic • Problems caused by inflation might be outweighed by the other benefits such as export-led growth/improved competitiveness • Benefits of weak exchange rate, e.g. exports cheap, • Other benefits of weak currency e.g. stimulus of economy, increased competitiveness, higher employment and FDI	(8)
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Question Number	Indicative content	Mark
(c)	Knowledge 2, Application 2, Analysis 4 Knowledge/implicit understanding: Policies identified might include: • Indirect tax/charges • Ban or other regulation • Free bags/nets or other state provision • Fines • Behavioural economics policy Application: • Tax or charge on each item. Might be illustrated through a specific tax diagram or similar. • Ban in some parts of Turkey for specific types (carcinogenic black bags). Might be supported by a limit on supply diagram. • Fines for consumers and retailers in some parts of Turkey • Free bags/nets or other state provision in e.g. 20 000 in Corlu near Istanbul • 950 tonnes of plastic waste Analysis: • Explanation of process linking the intervention to the reduction in use of bags. • This might be shown through a diagram(s).	(8)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(c) continued	Evaluation 4 - Charges work in other countries, e.g. UK - Emerging economies/countries might have more problems facing the cost of interventions e.g. inequality issue, poverty - The problem is much wider than plastic/single use bags, and the interventions will only affect a few on-street purchases - Likely to succeed because it taps into the social conscience of consumers and even a small charge may have a dramatic impact as in the UK - The tax/charge makes up a small proportion of income so many have minimal impact. PED is very inelastic/close to zero - Unintended consequences: e.g. multiple-use/ bags for life often contain more plastic and unless used many times can be more environmentally damaging - First paragraph suggests they are everywhere so given habitual behaviour people may continue to use them despite charges/ tax - opportunity cost of giving away 20 000 bags in a month – is this socially efficient?	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Question Number	Indicative content	Mark
(d)	Knowledge 4, Application 4, Analysis 8, Evaluation 9 16 marks for KAA, for effects of increased interest rates. Microeconomic effects may include: • Fixed costs to firms will rise. May cause shut down/loss of competitiveness • Fall in consumer demand as consumption expenditure falls - likely reduction in AR for normal goods • Other costs to consumers/firms/a government e.g. increased burden of debt and loan repayments/servicing costs • Fall in investment by firms - reducing dynamic efficiency in the economy as less funds for R&D • Impact on Turkish housing market Macroeconomic effects may include: • Link between higher interest rates and lower investment and lower consumption- reducing AD: inward shift of AD (or slowing outward shift) with multiplier effects with macroeconomic impacts e.g. unemployment • Rise in the value of the lira – worsening of current account of the Balance of Payments – possibly with effects on other countries • Redistribution of income e.g. from borrowers to savers/lenders, from asset holders to renters • Cost of financing public deficit/debt (may refer to opportunity cost) may mean less government spending elsewhere, e.g. limited ability to spend on education NB for a Level 4 response there must be micro and macro effect (s). Income distribution, investment changes and competitiveness, for example, can be used as either micro or macroeconomics.	

	9 marks for evaluation – points might include: • Interest rate might not be the most significant cost for firms • Contractionary monetary policies already very tight. Depends on the interest rates in other markets • Inflation has peaked and there are signs that it will fall so the rise in interest rates is not necessary • Trade-off between objectives or prioritisation e.g. lower inflation at the cost of higher unemployment might be shown with critical use of a Phillips Curve • Depends on interest rates in other markets- do we mean lending rates in other countries. • Turkey's private sector is resilient - they may refer to this explaining that shut down is less likely • Impact on housing market will depend on whether people own homes and are mortgaged or whether they rent, or whether mortgage is fixed or variable rate • Magnitude the interest rate change - Figure 1 suggests large increases and therefore significant impact/large changes are unable to have much further effect	(25)
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Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays ability to apply knowledge in context but will focus on small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models.
Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.
Level 3	9–12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13–16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Question Number	Indicative content	Mark
(e)	Knowledge 4, Application 4, Analysis 8, Evaluation 9 16 marks for KAA, for effects of increased infrastructure spending Microeconomic effects may include: • Wages higher • Improved infrastructure affects firms e.g. businesses' fixed or variable costs fall as transport costs fall • Investment seen to boost business confidence, lead to further investment and spending within firms • External benefits/external costs associated with the project - especially given the size, number of runways and amount of traffic outlined in Extract C. • External economies of scale • Accept answers based on impact on costs and/or revenues if the building occurs in the private sector, with appropriate diagram Macroeconomic effects may include: • Redistribution of incomes • Outward shift of AD/injection (I or G) into circular flow (or further outward shift in AD) with multiplier effects, with macroeconomic impacts e.g. employment and incomes rising • AS shift right with a movement in capacity of the productive economy shown (Keynesian or Classical AS) • Fiscal loosening – effects of increased budget deficit if funded without increase in tax • Effects of a rise in tax, if linked to government decision to raise tax to fund the projects	

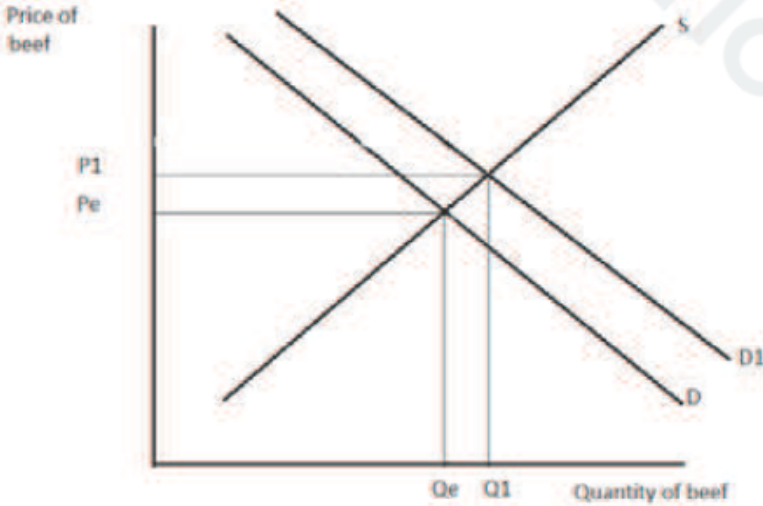
	NB for a Level 4 response there must be micro and macro effect (s). Some factors could be seen as micro or macroeconomics, such as a rise in tax, increased FDI, redistribution and confidence. Up to 9 marks for evaluation. Points might include: • Opportunity cost of spending on infrastructure e.g. schools, or higher taxes, • Crowding out – financial or resource • Might be a white elephant project • Depends on relations with EU/other countries as to whether the airport will reach full capacity • Depends on the size of the multiplier effect • Depends on the state of the financial sector • True costs not accounted for - externalities ignored • Large projects require a lot of coordination and getting behind schedule putting lives at risk. • Difficulty in placing value on external benefits and costs associated with the project	(25)
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Knowledge, application and analysis

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays ability to apply knowledge in context but will focus on small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models.
Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.
Level 3	9–12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13–16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Q6.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 2, Analysis 2 Knowledge 1 mark for original supply, demand and equilibrium. Application 1 mark for using source data (1) and 1 mark for link to change in demand (1), e.g. - increased meat sourced from UK, 81% to 83%/increased sales to emerging markets (1) leading to increased demand (1). Analysis - Diagram – showing shift in demand (1) and new equilibrium (1). 	(5)

Question Number	Indicative content	Mark
(b)	Knowledge 2, Application 2, Analysis 2 - Define cross elasticity of demand. - Identify lamb as substitute. - XED – positive – as price of beef rises the demand for lamb will rise. - Diagram to show increased demand for lamb. - Price and quantity both rise for this good. - Likely to lead to increased revenue. - Increased producer surplus. - Increased consumer surplus.	(6)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no links between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relate them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(b) continued	Evaluation 4 • Magnitude – depends on amount of price adjustment. • Short run little change – people do not adjust to price changes straight away/long run may take time for people to substitute. • Closeness of substitutes – inelastic supply means little impact/elastic larger impact.	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by chains of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Answer	Mark
(c)	Application 2, Knowledge 2, Analysis 2 Application 2 marks for, e.g. • desire for protein/dairy – 30–50m litres (1) • increased demand (1). Knowledge/understanding e.g, any two from: • higher prices (1) • higher output (1) • revenue rise (1). Analysis e.g, any two from: • increased profits/producer surplus identified/shown in diagram (1) • investment required for machinery and logistics – getting products to China (1) • firms will export more products (1).	(6)

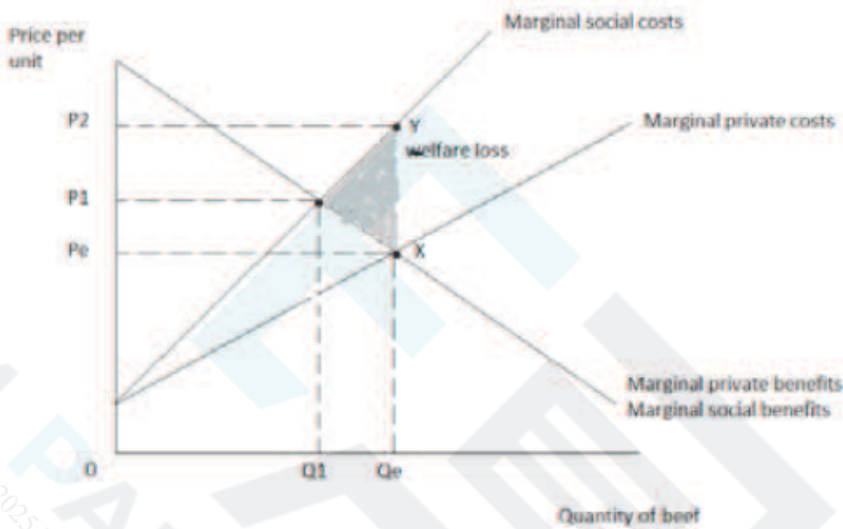
Question Number	Answer	Mark
(d)	Knowledge 2, Application 2 2 marks for correct use of formula (1+1). 2 marks for correct answer (1+1), e.g: • $2012 - 554/700 (1) \times 100 = 79\% (1)$ • $2013 - 562/830 (1) \times 100 = 68\% (1)$ NB if the answer given is 79% award 2 marks; if the answer given is 68% award 2 marks.	(4)

Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 • Define subsidy. • Application – £554m – 79%/69% of income. Reasons for a subsidy include: • lowers production costs • increases supply (on diagram or written) • lowers price (on diagram or written) • increases quantity (on diagram or written) • more accessible to poor (low price) • higher meat and milk consumption • vital rural economy – protects incomes/jobs • maintains/guarantees food supply • trickle-down effect • food industry relies on them.	(9)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	7–9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(e) continued	Evaluation 6 Reasons against a subsidy include: • 79%/ 69% of income is subsidy • reliant on subsidy • X – inefficient • should be allowed to get out of market and make room for someone else • cost to government – opportunity cost.	(6)

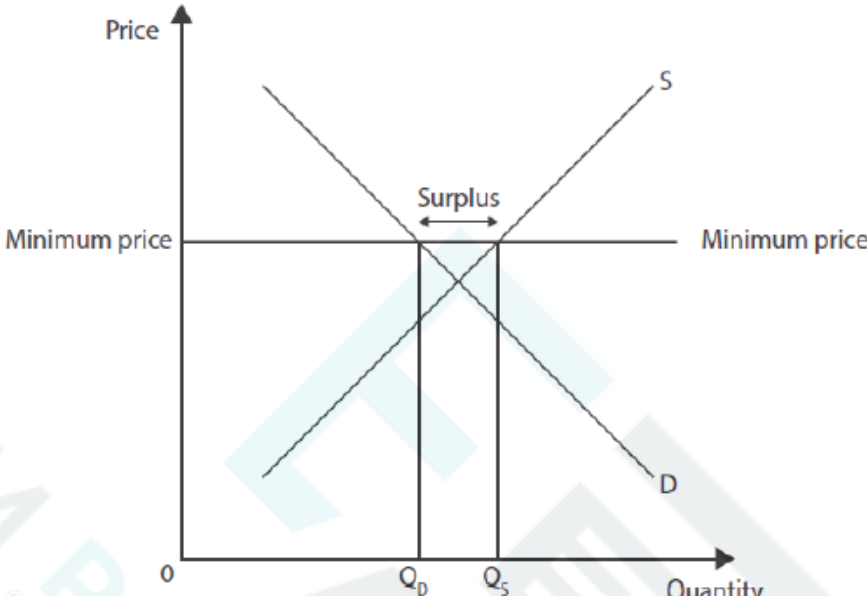
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Indicative content	Mark
(f)	Knowledge 4, Application 4, Analysis 6 - Define external costs. - Diagram accurately drawn – with MPC, MSB, MPB and MSC, welfare loss triangle.  - It takes 1,800 gallons of water to make a single pound of grain-fed beef. - Thirty per cent of the world's land is used to raise livestock. - Cows as major producers of methane gas. - These animals produce more climate-changing greenhouse gases than 22 million cars a year. - Manure, tons of fertilisers and toxic contaminants used in slaughterhouses.	(14)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two-stage chain of reasoning only.
Level 3	7–10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(f) continued	Evaluation 6 • Magnitude – depends on how much additional meat. • Measurement difficult – putting a value on external costs. • Increased demand – higher revenues. • Benefits of increased consumption – export income.	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Question Number	Indicative content	Mark
(g)	Knowledge 4, Application 4, Analysis 6 - Diagram showing minimum price above market equilibrium.  - Define minimum price. - Reasons for minimum price – protect incomes of producers. - Raise price of beef/ cause excess supply. - Contraction of demand/ extension supply. - Government may have to buy excess supply - Reduce consumption of meat – reduce obesity. - Link to NHS.	(14)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two-stage chains of reasoning only.
Level 3	7–10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(g) continued	Evaluation 6 • Anti competition. • Magnitude of price changes – increase then may put businesses out of business – job losses. • Delays – time lag before it starts. • Encourage smuggling – if minimum price. • Imports. • Magnitude – depends on size of minimum/maximum price. • Elasticity of demand– if inelastic little change. • Time lag – people will not change behaviour immediately.	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Q7.

Question Number	Answer	Mark
	Knowledge 1, Application 2, Analysis 2 Knowledge/understanding 1 mark for e.g: - definition or formula or diagram of price elasticity of supply. Price elasticity of supply (PES) measures the responsiveness of quantity supplied to a change in price. PES can be calculated using the following formula: $\text{PES} = \frac{\text{percentage change in Quantity Supplied } (\% \Delta \text{ in } Q_s)}{\text{percentage change in Price } (\% \Delta \text{ in } P)}$ Application Linked application focussed on new housing stock (1+1) e.g. - Price elasticity of supply of 1 means unitary elasticity; $\text{PES} > 1$ means elastic; $\text{PES} < 1$ means inelastic (1) 1 mark for identifying Supply elasticities in the USA or Finland are at or above unity (1) and 1 mark for identifying a country with particularly low elasticities of supply e.g. the Netherlands or the UK (1). - Candidates who compare the elasticities of one country where supply is elastic and one country where supply is inelastic: e.g. USA +2.0 (1) and UK +0.4 (1). - Supply is particularly unresponsive to prices in the Netherlands, more than ten times less responsive than in the USA (1+1). - A numerical illustration of the effects of price changes in different countries (1+1)	
	Analysis Linked analysis (1+1) e.g. - Above unity PES implying that in response to a demand shock housing output will increase proportionally more than prices (1) and below unity where housing supply is relatively unresponsive (1). - Explaining how it is easier to build new houses in the US compared to the UK (1) where it is more difficult to build new houses e.g. due to planning restrictions in UK (1). - Allow other reasons/factors that affect PES e.g. land availability, technology or time (1+1).	(5)

Question Number	Indicative content	Mark
	Knowledge 2, Application 2, Analysis 2 • Help to Buy is a subsidy making home ownership more attractive • Cross (price) elasticity of demand (XED) measures the responsiveness of quantity demanded for one good to a change in the price of another good. • Identify home ownership and rented properties as substitutes • Likely positive cross elasticity of demand – Help to Buy scheme may result in decrease demand in rental sector • Deposit size 5% rather than 20% - demand increases • Demand for rental properties decrease – diagram showing shift inwards • Price and quantity of rental properties to fall • Consumer and Producer surplus in rented sector declines • Alternative views valid e.g. Help to Buy may increase house prices and therefore increase demand for rented accommodation from those not eligible for Help to Buy. Help to Buy shifted demand for private houses to the right (increase) and that, ceteris paribus, this would shift demand for rented accommodation to the left (reduction).	(6)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1-2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no links between causes and consequences
Level 2	3-4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relate them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5-6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
continued	Evaluation 4 • Scale – “modest” uptake of the Help to Buy scheme • Time-scheme due to end in 2017 • Scope – more likely to affect “lower end” of property market. • Closeness of substitutes – home ownership is purchasing an asset renting is a cost of living. • Scheme only affects first time buyers • PES – planning restrictions • Regional variations • Other factors more significant e.g. income • Candidates may refer to long-term investment in private rented sector as buy-to-let increasing demand for home ownership.	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1-2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3-4	Evaluative comments supported by chains of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Answer	Mark
	Knowledge 2, Application 2, Analysis 2 Knowledge 2 marks for e.g. - Define producer surplus e.g. a measure of producer welfare or the difference between what producers are willing and able to supply a good for and the price they actually receive - Diagram to show the original demand and supply curve and equilibrium - Identify the original producer surplus Analysis 2 marks for e.g. - Diagram illustrates increased producer surplus (1) resulting from demand shifting out (1) Application 2 marks for e.g. - Explain that there is an increase in prices (1) as demand for houses rises (1) - Explain that there is an extension in supply or a rise in the housing availability - House builders will make a larger surplus (profit) - Producer surplus is likely to be only for new housing. With the existing housing stock, any increase in house prices would not be referred to as increasing producer surplus as the seller still has to find a home to live in. - Effect of PED/PES on size of producer surplus	(6)
Question Number	Answer	Mark
	Knowledge 2, Application 2 1 mark for identifying the formula e.g. $(\text{new} - \text{original}) / \text{original} \times 100$ (1 mark) 1 mark for locating the data 373 (Q1 2015) minus 300 (Q1 2009) 1 mark for performing calculation 1 mark for substituting figures correctly e.g. $(373 - 300) / 300 \times 100 = 24\%$. Accept 23 – 25% NB If the answer given is 24% or 24 award 4 marks. Do not award inaccurate answers such as minus 24% as 4 marks but credit any accurate working.	(4)

Question Number	Indicative content	Mark
	Knowledge 3, Application 3, Analysis 3 - Prices perform a signalling function – they adjust to demonstrate where resources are required. - Prices act as an incentive function – for consumers and/or suppliers - Prices perform a rationing function. - House price index fell e.g. in 2007-09 from 360 to 300 (-17%). House price index increased e.g. 2009-2014 from 300 to 375 (+25%). - Use of selected PES in Figure 1 - Diagram to explain price mechanism e.g. removal of shortages and surpluses - Allow use of economic thinkers/theories e.g. Smith's invisible hand/addressing the economic problem, Hayek's communication network.	(9)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1-3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4-6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance
Level 3	7-9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning

Question Number	Indicative content	Mark
continued	Evaluation 6 • Signals ignore negative externalities of building on green belt or higher risk of flooding. • Incentives lack perfect information or exhibit asymmetric information • Housing is an asset – speculative demand will prevent shortages from being eradicated – a “runaway train” Extract A. • Housing price mechanism fails to meet demand for affordable housing. • Regional inconsistencies – supply shifting inwards in parts of country or demand not increasing • Impact of recession/housing recovery fragile - prices volatile or continuously over-priced. • Long run/ short run distinction. • Lack of land/planning restrictions means PES remains inelastic. • Allow other government interventions/failure.	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1-2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3-4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5-6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Indicative content	Mark
	Knowledge 4, Application 4, Analysis 6 • Effects include changing property prices, rental market, affordability, shifts in demand and supply, welfare changes, environmental impact, cost to firms, cost to government, or impact on other markets. • Methods of intervention – e.g. subsidies, taxation, provision of information, regulation, direct provision of housing, flood defences, Help to Buy and rent controls. One type of intervention is sufficient as long as considering range of micro-effects. • Purpose of Government intervention to correct market failure – housing shortages and affordability. Possibility of further market and government failure. • Use of Figure 1 to indicate UK's PES may increase. • Use of Extract B: to increase property supply "making new homes available more quickly". • Candidates may consider macro issues in a micro context if part of a chain of reasoning that identifies micro impact e.g. provides incentive to build more housing increases employment. NB KAA can be positive or negative effects.	(14)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1-3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4-6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two-stage chain of reasoning only.
Level 3	7-10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance
Level 4	11-14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
continued	Evaluation 6 • Magnitude – extent of government intervention. • Measurement difficulty • Short run, long run issues. • Information gaps. • Unintended consequences - mortgage help may become ineffective in catching a 'runaway train' • Impact on different interest groups. • Distortion of price signals. • Opportunity cost to Government. • Environmental impact e.g. flooding NB EV can be positive or negative effects.	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1-2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3-4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning
Level 3	5-6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement

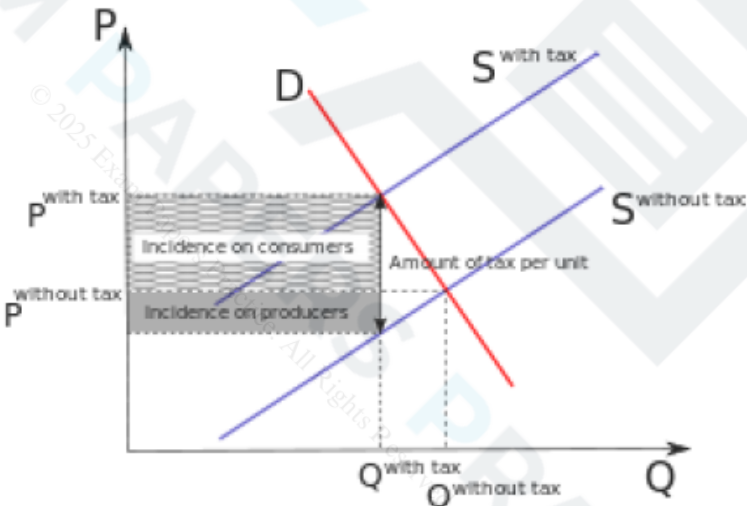
Question Number	Indicative content	Mark
	Knowledge 4, Application 4, Analysis 6 • Candidates may illustrate through use of appropriate diagram. • Public goods: non excludable and non rivalrous, e.g. flood defence schemes. • Failure of free market – free rider problem. • Externalities – positive or negative, e.g. housing may create these. • Information gaps: markets may have asymmetric information, e.g. insurance companies having incomplete information on risk of flooding. • Candidates may consider other types of government provision.	(14)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1-3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4-6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two-stage chain of reasoning only.
Level 3	7-10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance
Level 4	11-14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
continued	Evaluation 6 • Unintended consequences. • Magnitude • Government failure, e.g. flood defences. • Opportunity cost of government provision. • Ineffectiveness of government provision, e.g. climate change – better to abandon areas, • Information gaps. • Non-beneficiaries pay. • Anti-competitive.	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1-2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3-4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning
Level 3	5-6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement

Q8.

Question Number	Answer	Mark
(a)	Knowledge 2, Application 2 Knowledge - Correct drawing of a demand and supply diagram annotated to show a parallel left (1) shift in the supply curve (1) Application - consumer tax incidence shown (1) - producer tax incidence shown (1)  NB: Award application mark for correctly identifying on diagram amount of tax per litre is set at 58 pence per litre. PED does not have to be price inelastic.	(4)

Question Number	Answer	Mark
(b)	Analysis 1 The only correct answer is A <i>B is not correct because both consumer surplus and producer surplus decrease</i> <i>C is not correct because producer surplus decreases</i> <i>D is not correct because consumer surplus decreases</i>	(1)

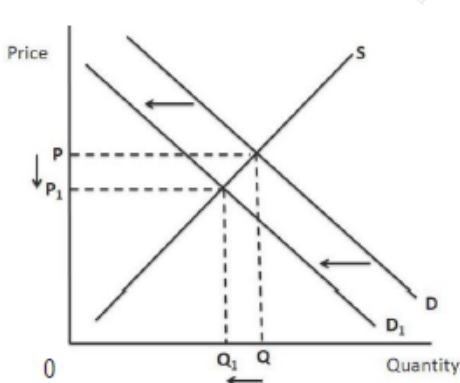
Q9.

Question Number	Answer	Mark
(a)	Knowledge 1 Knowledge/understanding 1 mark for definition, e.g. This occurs when government intervention in the economy causes a net welfare loss/decline in economic welfare.	(1)

Question Number	Answer	Mark
(b)	Knowledge 2 Knowledge 1 mark for reason and 1 for linked development Possible answers include: - Positive externalities (1) resulting from people using railways rather than roads (1) - Risk/imperfect information (1) if the project is undertaken by the private sector it may be less likely to happen (1)	(2)

Question Number	Answer	Mark
(c)	The only correct answer is A <i>B is not correct because this would cause the demand for rail travel to shift to the left</i> <i>C is not correct because this would cause the supply curve to shift to the right</i> <i>D is not correct because this would cause the supply curve to shift to the right</i>	(1)

Q10.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 2, Analysis 2 Knowledge 1 mark for definition of revenue or may identify clearly in diagram (1) Application 1 mark for using source data or linking ban to reduced consumption (1) and 1 mark for diagrammatic link to change in revenue (1), e.g. “can reduce tobacco consumption” (1) leading to decreased revenue as shown in diagram (1) Analysis Diagram showing demand shifts left or becomes less price inelastic (1) and new equilibrium (1) 	(5)

Question Number	Indicative content	Mark
(b)	Knowledge 2, Application 2, Analysis 2 • Application – price of e-cigarettes per nicotine cheaper • Data on PED suggests some rational response to price change e.g. 10% rise causes 4% fall in demand (Extract A) Reasons rational • Smokers computationally aware of financial gains of switching • Smokers informed of private health gains (Extract B Paragraph 2) • Reducing health external costs e.g. passive smoking (Extract A L15) • Smokers aware that regulations will increasingly make it difficult for them to gain utility of nicotine consumption through tobacco smoking NB Reasons for/against being rational may be presented as either KAA or EV	(6)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(b) continued	Evaluation 4 Reasons against being rational • Smokers lack information and computational skills to accurately assess full costs and benefits of switching. May underestimate long-term gains of switching (bounded rationality) • Information overload • Both products contain nicotine which is addictive and habit forming. • If e-cigarettes were not available they may quit smoking altogether • Switch may be only short-term (impulse buying) • E-cigarettes complements tobacco smoking resulting in an overall increase in nicotine consumption • PED for tobacco remains lower than e-cigarettes so a price rise in the latter may result in a switch back • Peer pressure (herd mentality) pushing smokers to make the switch	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by chains of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Answer	Mark
(c)	Knowledge 2, Application 2, Analysis 2 Knowledge/understanding 1 mark each for any two of the following: • definition or formula of cross elasticity of demand (1) • tobacco cigarettes and e-cigarettes have a positive cross elasticity of demand (1) • understanding of substitute relationship e.g. similar products (1) Application 1 mark each for any two of the following: • e-cigarettes seen as less harmful so become more attractive compared to tobacco cigarettes (1) • tougher regulations and growing health awareness on tobacco (1) • they are substitutes because they offer nicotine (1) • applying cigarettes to diagram showing impact on e-cigarettes (1+1) • relative price differences e.g. Figure 1 or tax rises on tobacco (1) • use of numerical example e.g. a 10% rise in the price of tobacco cigarettes results in a less than 10% rise in demand for e-cigarettes Analysis Up to 2 marks for any one of the following in linked development OR two limited examples of analysis (1+1): • the increase in the price of traditional cigarettes is resulting in the change in quantity demanded of e-cigarettes increasing • consideration of whether distant or close substitutes • diagram showing relationship between price of one of the product and demand for the other • magnitude/time	(6)

Question Number	Answer	Mark
(d)	Knowledge 2, Application 2 2 marks for each correct answer, e.g. • High-income countries = -4% / $+10\%$ (1) $= -0.4$ (2) or 0.4 (2) • Low-middle-income countries = -5% / $+10\%$ (1) $= -0.5$ (2) or 0.5 (2) NB Award 1 mark for a correct formula as an alternative for substituting correct figures on up to one occasion.	(4)

Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 • Identification of determinants of price elasticity of demand • Application – PED tobacco cigarettes -0.35; PED e-cigarettes -1.9. Reasons why tobacco cigarettes being relatively price-inelastic, e-cigarettes relatively price-elastic e.g.: • habitual consumption • tobacco broadly defined • proportion of income spent on tobacco cigarettes lower than switching cost of buying reusable e-cigarette kit • number of close substitutes • tobacco addictive necessity, e-cigarettes luxury (not yet addicted to). NB to access Level 3 candidates need to consider tobacco and e cigarettes.	(9)

"Assess" was used as the command word for this question instead of "Discuss". In order to meet the expectations set out in the sample material the 10 mark level descriptors have been mapped on to the 15 mark levels as below on this one occasion. See Appendix 1 for full details.

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1-3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	4-6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	7-9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(e) continued	Evaluation 6 • significance of determinant • e-cigarettes habit forming • tobacco cigarettes narrowly defined • proportion of income spent on tobacco cigarettes is rising • becoming closer substitutes • tobacco addiction waning as lost glamour and health warnings, e-cigarettes nicotine addiction. • longer term response to rising tobacco prices	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	4–6	Evaluative comments supported by chains of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Indicative content	Mark
(f)	Knowledge 4, Application 4, Analysis 6 Functions of the price mechanism to allocate resources: • rationing • incentive • signalling Market diagrams for tobacco and e-cigarettes, making use of supply and demand analysis. * Consumers with knowledge of the potential harm of cigarette smoking may quit smoking. * Smokers will maximise their private utility * Consumers will decide what is in their best interests * Reduction in smoking will happen automatically, without government intervention, as e-cigarettes become popular.	

	Candidates may refer to Adam Smith Consumers free to pursue own self interest Profit incentive will mean firms will want their consumers to live long – so move out of tobacco and into e-cigarette market. Without government regulations e-cigarettes market will be easier for new firms to enter thus improving competition. Competition between e-cigarette manufacturers to maximise profits will drive health improvements and lower costs making them more price competitive. Candidates may refer to Friedrich Hayek Resource allocation from tobacco to e-cigarettes will be brought about by market forces, which will be far superior to any state planning system. Individuals do not have perfect information on cigarettes but have the best knowledge of their own situation. The price mechanism acts as a communication network, markets are self-correcting. Government lacks sufficient information about everything happening in the cigarettes market to be able to make informed decisions.	(14)
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Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	7–10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(f) continued	Evaluation 6 Failings of the price mechanism • Information gaps • Asymmetric information • Externalities • Peer pressure ignores utility • Habit forming distorts utility Possible different disadvantages or approaches : * While consumers may maximise their private utility $MSC > MSB$, with explanation. e.g. passive smoking/health care costs * Without government intervention the oligopolistic/monopolistic power of cigarette firms, in the form of advertising and propaganda, will go unchecked Candidates may refer to Karl Marx Consumers exploited in past by misinformation on tobacco and due to being addictive they become dependent. Competition and the need to profit maximise will mean firms cut costs risking consumers health and increase prices thus reducing consumer surplus. Nature of free market is for powerful monopolies to emerge that can further exploit consumers.	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Question Number	Indicative content	Mark
(g)	Knowledge 4, Application 4, Analysis 6 Positive/negative effects of government intervention on tobacco cigarettes and or e-cigarettes with reference to market failure and using diagrams in various contexts: • Indirect taxation (ad valorem and specific) • Subsidies for tobacco replacements • Minimum cigarette price • Provision of information e.g. public health campaign • Regulation e.g. banning smoking in public places or advertising. • Direct provision – nicotine patches and e-cigarettes on NHS prescription Diagrams may be used to illustrate the above.	(14)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	7–10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(g) continued	Evaluation 6 Negative or unsuccessful impact of the intervention methods. Understanding of government failure as intervention that results in a net welfare loss – tobacco cigarette tax revenue exceeding tobacco related NHS expenditure. Causes of government failure: • Distortion of price signals – harm reduction instead of prevention, consuming e-cigarettes rather than quitting • Unintended consequences – e-cigarettes draw in new users acting as a gateway to smoking; regulating e-cigarettes protect tobacco from competition; tobacco smuggling • Excessive administrative costs – slow down e-cigarette innovation • Information gaps – little research on long term effects of e-cigarettes • Ineffective as PED < 1; diminishing returns of tax and regulations. Price inelastic demand diagram. Other evaluation approaches include: • Consideration of the extent of government intervention e.g. could it be more regulated • Free market approach might be more effective • Depends on the country being considered • Short run and long run	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Appendix 1

Part (e) directed candidates to "Assess" for 15 marks. In order to be in line with the support materials for this specification, this question should instead have directed candidates to "Discuss" for 15 marks. In order to ensure that all candidates received the fairest possible outcome, examiners were briefed on a levels-based marking structure for both command words. The body of the mark scheme includes the levels structure for the "Assess" command word as written in the paper. The levels structure that examiners considered for the "Discuss" command word is included below.

Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 • Identification of determinants of price elasticity of demand • Application – PED tobacco cigarettes -0.35; PED e-cigarettes -1.9. Reasons why tobacco cigarettes being relatively price-inelastic, e-cigarettes relatively price-elastic e.g.: • habitual consumption • tobacco broadly defined • proportion of income spent on tobacco cigarettes lower than switching cost of buying reusable e-cigarette kit • number of close substitutes • tobacco addictive necessity, e-cigarettes luxury (not yet addicted to). NB to access Level 3 candidates need to consider tobacco and e cigarettes.	(9)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	7–9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(e) continued	Evaluation 6 • significance of determinant • e-cigarettes habit forming • tobacco cigarettes narrowly defined • proportion of income spent on tobacco cigarettes is rising • becoming closer substitutes • tobacco addiction waning as lost glamour and health warnings, e-cigarettes nicotine addiction. • longer term response to rising tobacco prices	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.